

Three days before the great US stock market crash of 1929, the economist Irving Fisher famously said, 'Stock prices have reached what looks like a permanently high plateau.'

A similar delusion seemed to have gripped most of the market experts in India, given the stupendous rise in technology share prices. Some veterans feared the worst, given the way prices were rocketing. For some time now they had been saying a crash was imminent. But after repeatedly being proved wrong they kept their wisdom to themselves, not wanting to appear ridiculously old-fashioned. Also, it made bad business sense; clients did not like brokers preaching caution when stock prices were shooting through the roof every day.

The normally adventurous Prakash was among the handful who managed to retain a good chunk of his profits. He reduced his trading positions to near-zero by mid-February, and decided to go on a vacation.

'Honestly, Lala, I don't think we will see a run like this again in our lifetime,' he told me when I drove him and his wife to the airport. 'In fact, I have half a mind to quit this profession altogether. Even when this party ends, we will keep hoping to double or treble our money every two months.'



The party on Nasdaq ended abruptly on 14 March with a 4 per cent drop, sending the index tumbling to 4,707. And suddenly, investors in technology shares around the world were racing to exit the stocks, as if everybody had simultaneously realized at that magic moment that the business models of most of the technology companies were unsustainable. Overnight, these stocks – ardently pursued by fund managers and individuals until so very recently – became pariahs.

The scene was no different on Dalal Street. The panic selling over the next one month halved the prices of the technology darlings. Many investors saw their paper wealth diminish considerably, or even vanish. When the slide began, many traders and investors held on to their positions, thinking it was another of those bull market corrections that would reverse quickly. By the time they realized the gravity of the situation, trading volumes had dried up. In many stocks, trading was frozen because there were only sellers.